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Equity Research for Family Offices and Small Funds with the FMP MCP Server

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Equity Research for Family Offices and Small Funds

Smarter data. Deeper insights. Better decisions.



A family office running \$150 million doesn't get a five-person research desk. Neither does a small fund with eight names in the book. But the diligence bar doesn't drop just because the headcount did, if anything it goes up, because a concentrated portfolio means every position carries real weight and there's no long tail of other holdings to average out a mistake.

That's the gap the FMP MCP server is actually useful for. Not because it replaces judgment, but because it collapses the mechanical part of diligence, pulling statements, estimates, insider filings, institutional flow, into a conversation in

Claude Desktop instead of a subscription to a terminal that costs more than a junior analyst's salary and still needs someone to operate it.

This piece walks through a real equity research pass on Axon Enterprise (AXON), the maker of Tasers and body cameras for law enforcement, using the FMP MCP server end to end. Every prompt below was run against the FMP MCP before writing this, so what's described is what it actually gave back, not a guess at what it might say.

For more information on the FMP MCP server, see [FMP's documentation](#). To see what the Finance Toolkit MCP adds on top of it, see [here](#).

Setting Things Up

The FMP MCP server connects to Claude Desktop as a remote connector, no local install required. Under Settings, then Connectors, then Add custom connector, the URL follows this pattern:

```
https://financialmodelingprep.com/mcp?apikey=YOUR_API_KEY
```

Paste that in with your key, give it a name, and Claude has direct access to FMP's statements, analyst data, insider filings, and institutional ownership records for the rest of the session.



Get an API key at jeroenbouma.com/fmp. The free tier covers 250 requests a day, which is plenty to run everything below.

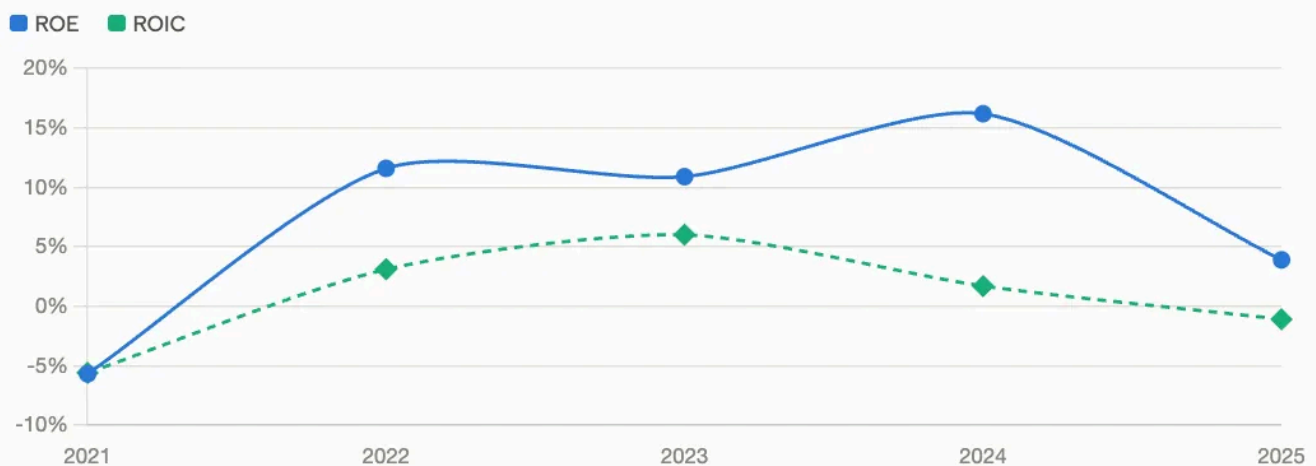
Building the Diligence File: Financial Health at a Glance

Before a story matters, the numbers have to support it. FMP's key metrics endpoint bundles return on equity, return on invested capital, and EV/EBITDA into a single call, the kind of thing that normally means pulling three statements and building the ratios by hand.

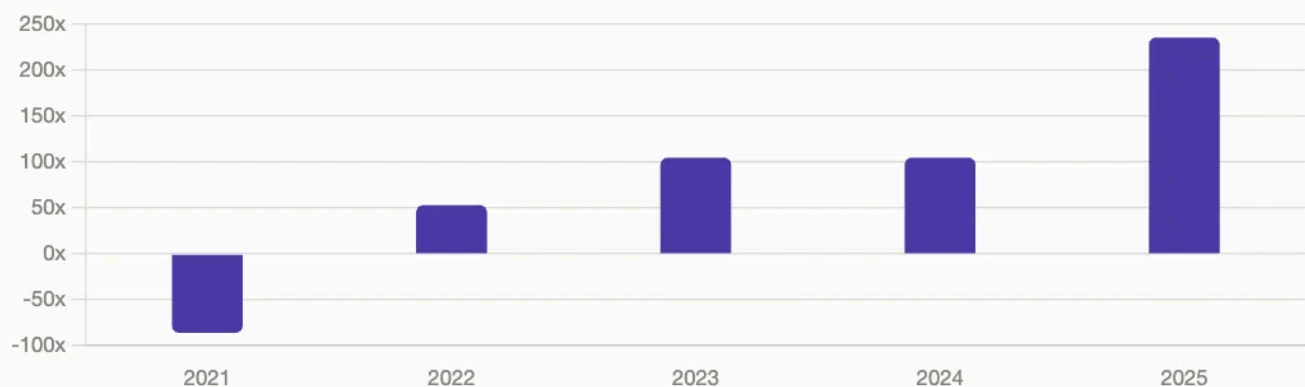
Updated tasks, used FMP integration

Here are Axon Enterprise's key financials for FY2021-FY2025 (fiscal year = calendar year), pulled from the market-data connector.

Metric (\$M unless noted)	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue	863.4	1,189.9	1,560.7	2,082.5	2,779.5
Gross margin	61.5%	61.2%	61.2%	59.6%	59.7%
GAAP net income	-60.0	147.1	175.8	377.0	124.9
GAAP EBITDA	-117.1	227.6	183.4	437.0	196.4
Diluted EPS (\$)	-0.91	2.03	2.33	4.80	1.51
Enterprise value	10,056	12,154	19,279	45,966	46,369
ROE	-5.7%	11.6%	10.9%	16.2%	3.9%
ROIC	-5.6%	3.1%	6.0%	1.7%	-1.1%
EV/EBITDA	-85.9x	53.4x	105.1x	105.2x	236.1x



EV/EBITDA (x)



“Pull Axon Enterprise’s (AXON) key financial metrics for the last five fiscal years and show me how ROE, ROIC, and EV/EBITDA have moved.”

This tells an uncomfortable story on its own: ROIC peaked in 2023 at 6% and has since gone negative, while the EV/EBITDA multiple more than doubled over the same stretch, past 236x by 2025. The multiple is expanding faster than the returns funding it, which is exactly the kind of tension worth flagging before sizing a position, not after.

Where the Market Disagrees With Itself: Analyst Estimates and Price Targets

A small fund without in-house sell-side coverage can still use consensus, just not as a target to chase. The more useful number is usually the spread between analysts, not the average.

Used FMP integration

Here's the current analyst picture and forward estimates for AXON. Current price is \$510.28 (down 5.8% on the day; 52-week range \$339-\$886).

Price targets and rating (Wall Street consensus):

Consensus rating	Buy (17 buy, 4 hold, 0 sell)
Average target	\$658.56 (+29% vs current)
Median target	\$724 (+42%)
High target	\$820 (+61%)
Low target	\$440 (-14%)

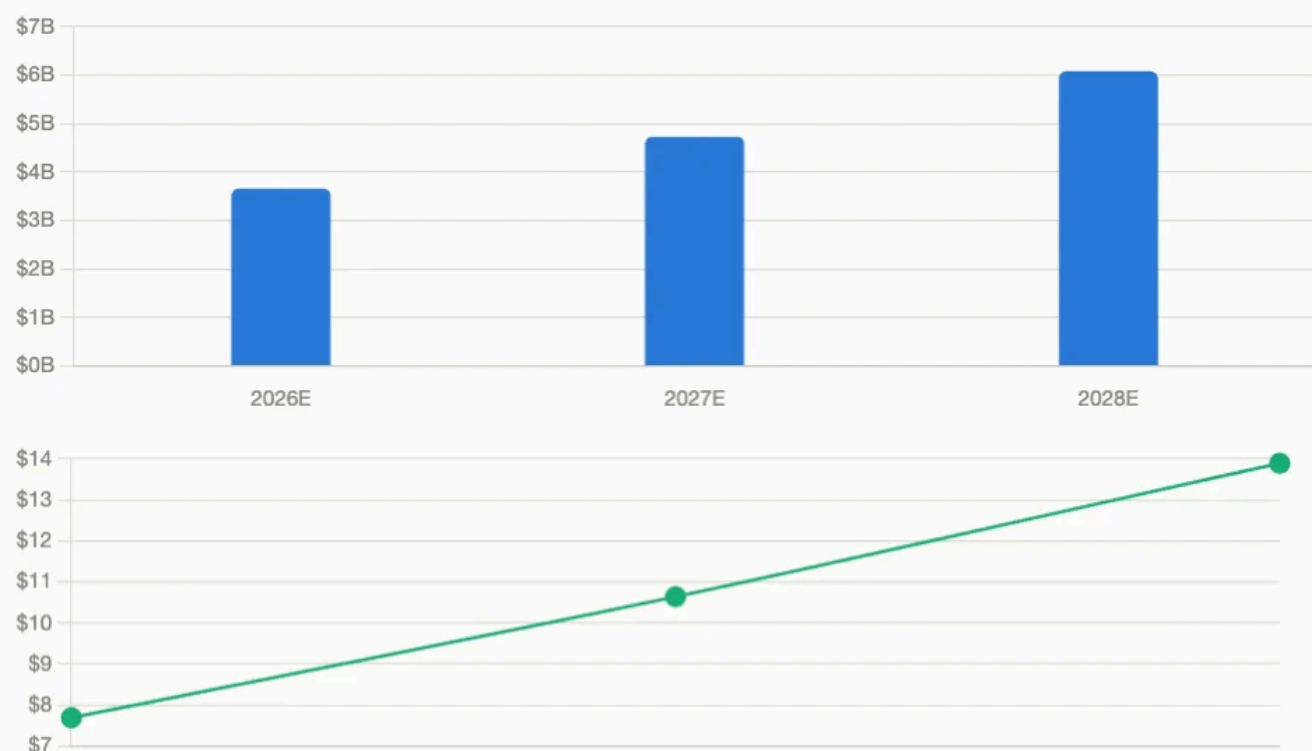
Forward estimates (consensus averages):

Fiscal year	Revenue	Rev. growth	EPS (adj.)	EPS growth	# analysts
2026E	\$3.66B	+32%	\$7.69	+22%	~13
2027E	\$4.73B	+29%	\$10.64	+38%	~14
2028E	\$6.08B	+29%	\$13.89	+31%	~10

Price target range vs current \$510



■ Revenue (\$B) ■ Adj. EPS (\$)



2026E

2027E

2028E

“Show me the current analyst price target range and consensus for AXON, plus 2026 through 2028 revenue and EPS estimates.”

The response comes back in two parts. The price targets show a consensus of \$658.56 against a share price of \$510.28 that day, roughly 29% below where analysts collectively see it heading. The estimates show something more interesting further out: by 2028, the analysts covering AXON put net income anywhere from \$573 million to \$1.81 billion, a range wider than the company's entire 2025 net income. They agree on the revenue trajectory and disagree sharply on what margin structure survives three years out, and that disagreement says more than the consensus price target does.

A Sanity Check on Valuation

A DCF is a pressure test: does the current price only make sense under aggressive assumptions, or does it hold up under conservative ones. That matters more when a fund holds six positions than when it holds three hundred, because there's no portfolio-level averaging to absorb being wrong on one name.

Loaded tools, used FMP integration

The levered DCF model returns a fair value of \$94.30 per share versus the current \$510.28 — implying the stock trades at roughly 5.4x the model's intrinsic value, or about 82% "overvalued."

Levered DCF value

\$94.30

Current price

\$510.28

Implied downside

-82%



“Run a levered discounted cash flow valuation on AXON and compare it to the current share price.”

The number that comes back is jarring at first glance: a DCF value of \$94.30 against a share price of \$510.28. That's not the model saying the market is wrong, it's the model saying that a standard WACC-and-terminal-growth template can't capture a company compounding revenue in the 30%+ range, and that the entire bull case for

AXON has to be carried by assumptions the template doesn't make for you. Running this doesn't answer the valuation question, it tells you exactly how much of the investment case is resting on judgment rather than arithmetic, which is worth knowing before writing the position up.

What Management Actually Said

Ratios describe what already happened. Earnings calls are often the only source for what management believes is coming, and the language shift quarter to quarter is a real edge for a team that can't sit on every call live.

The quantitative growth picture management laid out to back that narrative:

Metric (Q1 FY2026)	Result	YoY
Revenue	\$807M	+34% (9th straight quarter >30%)
Full-year revenue guidance	raised	to 30–32% growth
AI bookings	—	+140%
AI product revenue	—	+700% (off small base)
Dedrone (counter-drone) revenue	—	+300% (bookings +500%)
International revenue	20% of total	+100%
ARR	\$1.5B	+35%
Net revenue retention	125%	—
Future contracted bookings	\$14.3B	+44%

“Pull the transcript from AXON's most recent earnings call and tell me what the CEO said about growth.”

Claude pulls the full Q1 2026 transcript from May 6, 2026, and surfaces the line that matters: CEO Patrick Smith telling investors “I'm more convinced than ever that we're building something the world genuinely needs... Today, I think we passed the inflection point.” “Passed the inflection point” is the kind of phrase worth tracking against what the same person said the quarter before and the quarter after. That's not a two-minute exercise done manually across a dozen transcripts, which is exactly why most small teams don't do it and exactly why it's worth automating.

Following the Insiders

Insider selling gets read as a bad signal by reflex. Most of it is scheduled, small, and means nothing. The actual job is telling routine activity apart from something that

changes the read.

Date	Insider	Role	Type	Shares	Price	≈ Value
Jul 8, 2026	Leon Kant	Director (new)	Grant	600	\$0	—
Jul 8, 2026	Vivek Mohindra	Director (new)	Grant	600	\$0	—
Jul 7, 2026	Patrick W. Smith	CEO	Sale	~20,000	~\$640 (range \$627-\$663)	~\$12.8M
Jun 5, 2026	Joshua Isner	President	Sale	4,590	~\$493 avg	~\$2.3M
Jun 4, 2026	Patrick W. Smith	CEO	Sale	20,000	\$500	\$10.0M
Jun 4, 2026	Cameron Brooks	Chief Revenue Officer	Sale	1,242	\$500	\$0.6M
Jun 4, 2026	Elizabeth Coughlin	Chief Human Officer	Sale	1,554	\$485	\$0.8M
Jun 1, 2026	Jeri Williams	Director	Sale	629	~\$470 avg	~\$0.3M
Jun 1, 2026	Caitlin Kalinowski	Director	Sale	564	~\$479 avg	~\$0.3M
May 22, 2026	Isaiah Fields	Chief Legal Officer	Sale	2,000	\$400	\$0.8M

“Show me the most recent insider transactions for AXON, including who traded, how much, and at what price.”

The transactions that come back show Patrick Smith selling in small tranches and a couple of newly appointed directors also picked up small stock awards around the same time. None of it reads as conviction-driven, it reads as a scheduled 10b5-1 plan doing exactly what it's built to do. Ruling something out confidently is worth as much here as spotting a real signal would be.

Who Else Is In This Trade

Before taking a meaningful position, it helps to know whether a fund is early or late relative to institutional flow. A stock where ownership just climbed from 80% to 83% of float in one quarter is a different setup than one where the same institutions are quietly walking out the door.

Used FMP integration

Here's the institutional ownership picture for AXON across the last four 13F quarters, with the most recent filing covering the period ending March 31, 2026.

Metric	Q2 2025	Q3 2025	Q4 2025	Q1 2026 (latest)
Total institutional holders	1,250	1,232	1,195	1,101
New positions opened	230	134	160	132
Positions closed	88	151	193	227
Net (opened – closed)	+142	–17	–33	–95
Increased existing	701	634	594	560
Reduced existing	373	376	412	354
Shares held (13F)	64.5M	63.6M	65.6M	67.0M
Institutional ownership	82.7%	81.5%	83.6%	83.3%
Total \$ invested	\$51.7B	\$45.1B	\$37.1B	\$28.4B

■ New positions ■ Closed positions — Total holders



“Show me institutional ownership trends for AXON from the latest 13F filings, including how many holders opened new positions versus closed them.”

What comes back shows institutional holders climbing from 1,106 to 1,250 quarter over quarter, with ownership of float rising from 80.36% to 82.66%. New positions opened outnumbered closures by more than 2 to 1, 230 versus 88. Institutions were still adding into that quarter, not distributing, which is context worth having before assuming a stock trading well below its 52-week high is being abandoned by the money that actually moves the float.

Where FMP Stops and the Finance Toolkit MCP Picks Up

Everything above comes straight out of FMP's raw endpoints, and for pulling a specific number, a specific filing, a specific quarter, that's exactly the right tool. What it only does to a more limited extent is combine those raw numbers into the kind of computed research output an analyst would also like to see. Such as a Piotroski score, a Sharpe ratio against a benchmark, a five-factor Fama-French regression or a DuPont breakdown of what's actually driving ROE.

That's what the **Finance Toolkit MCP** can extend the FMP's endpoints further. It's built directly on top of FMP's data, using the same API key, so there's no second account or separate integration to manage.

AXON is a healthy business and a risky stock.

Balance sheet — strong. Liquidity (current 2.5x, quick 1.8x) and solvency (D/E 0.59, net-cash-like) leave **no distress risk**.

Operations — mixed. Excellent **60% gross margin** and **30%+ growth**, but GAAP profitability is thin (ROE **4.5%**, ROIC **negative**, op margin **0.7%**) because of heavy stock-based comp. Adjusted profitability is fine; reported isn't.

Stock — expensive and volatile. EV/sales ~21x, ~0.1% FCF yield, ~50% volatility, beta ~1.3, drawdowns of 40%+. **No valuation cushion.**

Bottom line: the company and balance sheet score well; the GAAP income statement and the risk/valuation profile don't. The bull case rests entirely on **growth continuing**.

Liquidity	Strong	Current 2.53x · Quick 1.81x · ample cash
Solvency	Strong	D/E 0.59 · low absolute debt · large cash pile
Efficiency	Fair	Asset turnover 0.48x · cash cycle 163 days (improving)
Profitability (GAAP)	Weak	Gross 60% · ROE 4.5% · ROIC negative · op margin 0.7%
Valuation	Expensive	EV/Sales 20.7x · P/B 17.5x · FCF yield 0.1%
Performance	Mixed	5-yr strong (2024 +130%) · 2025 -4.5% · 2026 -10% YTD
Risk	High	Volatility ~53% · beta ~1.3 · max drawdown -46%

“Explore the areas of efficiency, liquidity, profitability, solvency, valuation, performance and risk for AXON. How healthy is the company?”

The genuinely useful part is how little friction there is between the two: ask for a ratio the Finance Toolkit computes, and it pulls the underlying statements from FMP, runs the calculation, and hands back a clean answer, in the same conversation, with the same connector setup.

For a family office or small fund already running the prompts above, adding the Finance Toolkit MCP as a second connector turns raw data pulls into an actual research layer, without turning a two-person team into a data engineering project.

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Written by Jeroen Bouma

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With Experience and Education in the area of Quantitative Finance, my ambition is to continuously improve in the area of Quant Finance and Python Programming.

